

TVS Motor Company Ltd

Investment Rating : Average

Company Overview

Website	
Sector	nan
Market Cap	266,591.41 Cr
PE Ratio	46.1
PB Ratio	5.62
Dividend Yield	3.07 %

Financial Quality

ROE	nan
ROCE	nan
CFO Quality	Accrual Risk
FCF CAGR	nan%
Capital Pattern	Aggressive

Capital Allocation

Capital Score	58.0
Reinvestment	Growth Focused
Debt Trend	Increasing Debt
Leverage	Very High

Business Overview

'TVS Motor Company Ltd (TVSM) is engaged in manufacturing two-wheelers and its accessories

Strengths

Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.
Return on equity improving for 3 consecutive years shows strengthening business quality.
Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

Debt-to-equity ratio of 3.83 is elevated for a non-financial company and warrants monitoring.
Free cash flow negative for 3 consecutive years raises concern about cash generation quality.
Net debt exceeding three times operating profit indicates elevated financial leverage.